TRIPLE FLAG PRECIOUS METALS TFPM.

April 29, 2025 - 7:50pm EST
by beep899

			2025	2026
Price:	20.30	EPS	0	0
Shares Out. (in M):	212	P/E	0	0
Market Cap (in $M):	4,100	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

The price of gold has completed a big run since breaking out of a nearly 4-year consolidation that ended with an upside breakout in March 2024. Since that breakout the price has risen from roughly $2000 to briefly touching $3500. While it could go higher right now, it is likely price needs to correct/consolidate and maybe even wash out some of the late buyers. However, ultimately I believe the stage is set for more upside. Ultimately, even if the tariff fiasco is sorted out, the budget deficit will still be wide and the mountain of debt will continue to spiral upward, and those events favor gold.

Though some arguments for “why gold” are included at the end of this writeup, the focus is to recommend a security to play future upside; specifically, Triple Flag Precious Metals, a royalty company. For me TFPM is one of a couple core royalty names I own along with actual metal exposure via PHYS. I then augment those with individual miners that I believe have upside catalysts beyond the gold price, though with much more risk.

Triple Flag is a gold and silver royalty company headquartered in Toronto and listed on the TSX and NYSE, both listings with the symbol TFPM. The market cap is US$4.1b including likely shares issued for a recently announced purchase of another smaller royalty company (added ~3% to existing shares).

The attraction of Triple Flag is that its revenue is highly tied to gold and silver (93% combined) with little else. Arguably, the market is only beginning to view the company as a member of the top tier of royalty companies, thus offering some valuation upside should execution continue on track and the gold price continue to rise and more portfolios begin to include gold or gold-related investments among their assets.

The company was created by Elliott Management and Elliott continues to own 67% of shares outstanding (slightly less upon closing of recent deal). Their continued ownership offers steady leadership. In terms of flows, one of the two main gold miner ETFs, the VanEck Junior Gold Miners (GDXJ) has a small position (0.98%) which creates some natural buyers as more investors become interested in the gold mining space.

The attractiveness of a royalty name is that it reduces certain risks associated with mining. First, it offers a portfolio of assets instead of relying on a small number of mines, or even perhaps only one mine. Thus, problems at one mine do not tank the entire business. However, the major benefit of royalty companies is that they mostly avoid problems with unexpected increases in the cost of mining as they generally take their cut off the top line of the miner. In addition, deals are structured such that additional gold (and/or other metals covered in the deal) found on the site is included in all future royalty streams, which can often extend the life of these annuity-like contracts.

This avoidance of the cost of mining has been very relevant of late as over the past couple years, even as the price of gold has risen, the cost of mining rose right along with it. For many miners the operating leverage was limited. Royalty companies generally side-step this problem.

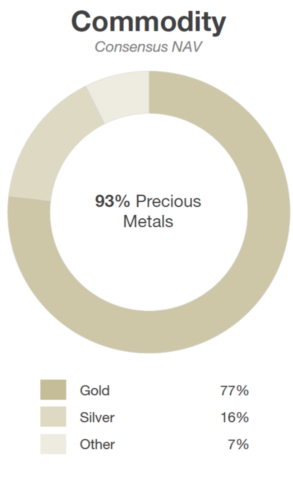
More recently, the price of gold has risen fast enough and done so without correspondingly high costs, that actual miners are beginning to see true operating leverage. As noted, royalty names, including TFPM, will not benefit as much as miners from operating leverage as even though their top lines rise with the price of gold, their costs are generally low and their margins are already high.

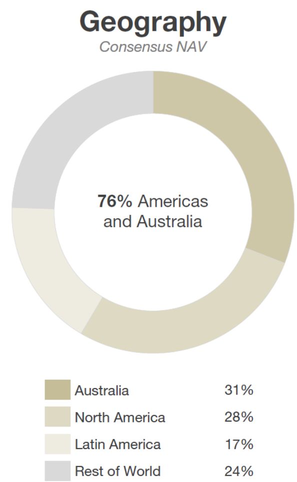
In the case of Triple Flag, in 2024, gross margin, EBIT, EBITDA and net income margins were 57.70%, 46.02%, 76.25%, and 44.12%. It’s a good business to be in.

Risks do include impairments of individual projects. With that in mind, last year TFPM took a $141m impairment charge on a Nevada-based royalty. Fortunately, this was only a bump for the company. Comparatively, Franco-Nevada, another royalty name, was hit with a $1b impairment when the government of Panama shut down First Quantum’s Cobre copper mine. However, one can see on the stock chart that while FNV stock certainly took a hit, the rising prices of metals bailed the stock out. Getting bailed out doesn’t always happen with a junior gold miner with only a couple mines driving the entire business.

The more exposure to gold and silver the better for a royalty name, I argue. TFPM reserves and resources are 93% tied to gold (77%) and silver (16%). See below chart. This is almost as good as it gets. Among the junior and even sub-junior royalty names they often include a great deal of copper. I feel the addition of base metals only depresses multiples.

Moreover, copper is very much tied to solar and wind, as well as all manner of electricity (A.I.). I always worry that the day is coming when governments realize subsidizing windmills and suncatchers not only increases the cost of electricity (in spite of the subsidies) while hobbling the grid (Spain?). Maybe this demand eases. But even if it doesn’t, the presence of base metals can only lower the multiple the market gives the stock: a) the multiple for base metals is significantly lower than gold and b) the supply/demand drivers are removed from a monetary metal such as gold.





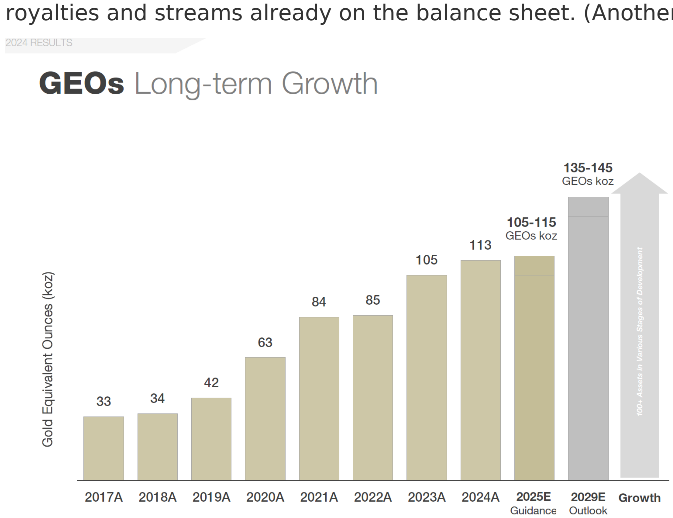
Triple Flag scores well on political risk. 59% of assets (see above) are in Australia and North America, the safest locations. An additional 17% is in Latin America, which, in spite of Latam's very real risks, the region is still generally considered next best. The company's Rest of World exposure includes Africa and all investments in these countries are loaded with political risk.

TFPM has material individual mine risk. Roughly 25% of 2024 revenue is via a gold and silver stream out of Evolution Mining's Northparkes copper and gold mine in Australia. Another roughly 25% is via a silver stream with Nexa Resource's polymetallic mine in Peru. The percentage of silver attributed to Triple Flag from the Cerra Linda stream will step down from 65% of the mine's silver production currently to 25%, likely in 2026. This will limit concentration from that particular mine.

Upside to Rising Gold Prices

The reason to own any other royalty name is that one has a belief that the price of gold is going to continue to rise. What is Triple Flag's leverage to rising gold prices?

Even before a rising gold price investors should benefit from a slowly rising expected gold equivalent ounces (GEOs) based on the royalties and streams already on the balance sheet. (Another being added based on the latest deal.) Guidance is as follows:



GEO' s attributed to TFPM in 2024 where 113k. The mid-point of 2025 GEO guidance is actually slightly below 113k at 110k. While it obviously would be preferable if the GEOs were higher yoy, as long as the long-term growth is intact the market is largely looking through these misses, not just for TFPM, but for any name... *within reason.* (RGLD would be another similar case.)

As shown above, the company's long-term guidance to 2029 is to reach 135k to 145k GEOs. My model below has them reaching only 132k and with slow but steady increases in attributed GEOs across this 5-yr time period. What I include for production is extremely conservative vis a vie their guidance.

As for the price of gold, I have 2025 at $3200, which assumes no further appreciation this year. Then I have added $500/oz per year into the outyears. I have kept the silver price steady in 2025-2026 and have bumped it to $35 in the outyears. Upside ranges from 41% this year to over 250% in the outyears. Much higher silver is an option to the upside.

All USD$	2025	2026	2027	2028	2029
Gold	$ 3,200	$ 3,700	$ 4,200	$ 4,700	$ 5,200
Silver	$ 32	$ 32	$ 35	$ 35	$ 35
GEOs (000s)	109	115	121	126	132
Earnings	**$ 0.97**	**$ 1.24**	**$ 1.74**	**$ 2.11**	**$ 2.52**
FV at 30x eps	$ 29.03	$ 37.33	$ 52.27	$ 63.39	$ 75.61
Upside/Downside	41%	81%	154%	208%	267%
Current Price	$ 20.60				

However, I believe investors own a lottery ticket on the upside price of gold. Below shows valuation if gold rises faster, say to an average of $4200 next year and then to $6000 by 2029. I am not saying this will happen, but it is worth understanding the upside. TFPM seems like a reasonable, long term, somewhat lower risk vehicle to maintain exposure.

All USD$	2025	2026	2027	2028	2029
Gold	$ 3,200	$ 4,200	$ 5,000	$ 5,500	$ 6,000
Silver	$ 32	$ 32	$ 35	$ 35	$ 35
GEOs (000s)	109	112	117	122	128
Earnings	**$ 0.97**	**$ 1.46**	**$ 2.12**	**$ 2.50**	**$ 2.92**
FV at 30x eps	$ 29.03	$ 43.73	$ 63.64	$ 75.00	$ 87.45
Upside/Downside	41%	112%	209%	264%	325%
Current Price	$ 20.60				

See Risk section below for specific highlights of potential risks to owning TFPM.

On The Price of Gold

Only recently has gold made the radar of the financial press, but hardly anything extreme. Moreover, portfolios are still largely unexposed to it. That said, the final ramp in the metal recently was so fierce that it would be surprising if it did not spend some time consolidating and correcting, which for the moment it has begun to do. Perhaps if some Trump trade deals are announced and viewed favorably then some additional systemic risk is taken off the table which in turn takes some disruption premium out of the price of gold, at least temporarily. However, the main driver of gold is really continued and unstoppable fiscal and monetary mismanagement, not really tariffs.

Though this writeup is not designed to provide a detailed argument as to why gold will eventually continue to rise, I can share some comments (slightly amended) that I recently shared with a small board on which I serve. I participate on their finance committee to invest their endowment. See below:

Why gold, why now? Because the world order is changing and it is not going back. One of the drivers of that change is that U.S. deficits and debt are going to continue to grow. This fiscal and monetary mismanagement bode well for gold.

It helps to think about the concept of a changing world order using a very long-term perspective. The entire arc of an empire lasts plus or minus 240 years. 120 years on the way up and another 120 years on the way down, but the legs can be shorter.

Ray Dalio lays this out in his **Principles for Dealing with the Changing World Order: Why Nations Succeed and Fail.** He details the path of the previous four empires, ending with the United States. My pdf copy of this book is 600 pages (he also distributes it for free). However, I have conveniently created a few-page Cliff Note version at the link below should one be interested. Link: **The Decline of the United States Empire is Right On Schedule** at my Substack, Sarah Saves Receipts.

The super-tldr version is before the United States, first Spain (sort of), then the Dutch, then the British were the reigning world empires. It was unthinkable they could ever not be exactly that when they were at or near their peak. But right on schedule, I mean one can almost set a watch to it, each empire got sloppy. Education lost its edge. Competitiveness on many dimensions slid. Then spending didn't just get out of control, it finally drove a mountain of debt that could not be serviced. Trying to defend militarily interests that were too far flung was also a key to downfall. For a long time, being a holder of the reserve currency enabled the empire to build that debt in a way they otherwise could not.

However, finally the holders of that debt begin to realize that they need to get out of it before they become the bag holder because the debt can't be serviced, at least without even more money printing and a sharp debasement of the currency. The U.S. checks all these decline boxes.

For the United States the peak was, let's say 1945. Today we're about 80 years past peak. We're entering the accelerated portion of our decline. The clock is ticking and the debt is mounting. For me, the greatest country on earth, ever, is the United States. I can't love my country more. But the U.S. will not evade these natural forces of decline. We can occasionally slow them. However, we can also cause them to accelerate. Even as decline will remain mostly a slow-motion event, we arguably witnessed the first episode in which events sped up. Amidst the slow-motion, there will likely be more episodes of speeding up.

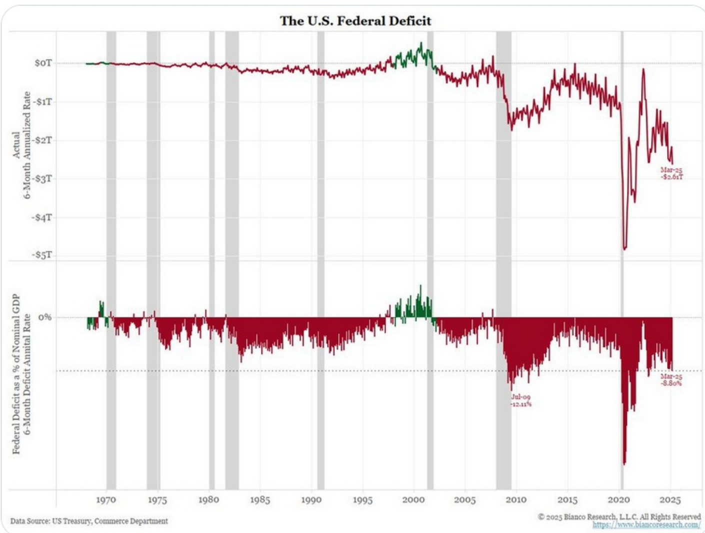
First, the looming problem is U.S. spending and debt is spiraling out of control and absolutely nothing is likely to stop it.

Bond guru, Jeffery Gundlach points out:

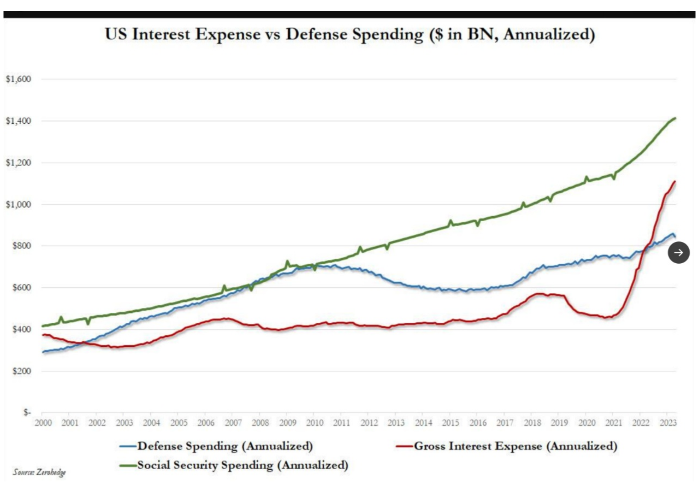
> **Jeffrey Gundlach** @TruthGundlach · Apr 10
>
> Halfway through fiscal year 2025, the U.S. Budget deficit increased by $1.3 trillion. So we are up to a $2.6 trillion annual rate. That rounds up to an incredible 9% of GDP. The fit is hitting the shan.

Below, investment manager Jim Bianco illustrates what Gundlach is saying. The deficit is running almost 9% and growing. We've been in an expanding economy and instead of lowering our deficit like we did, for instance after WWII and after most recessions, we're continuing to grow it. The deficit spending is now embedded in the budget as baseline, even DOGE can't seem to stop it. The fact that this spending is embedded is important. Nothing can be cut without constituencies going bonkers. Even Republican districts want their Green New Deal windmills.

> **Jim Bianco** @biancoresearch
>
> Unsustainable

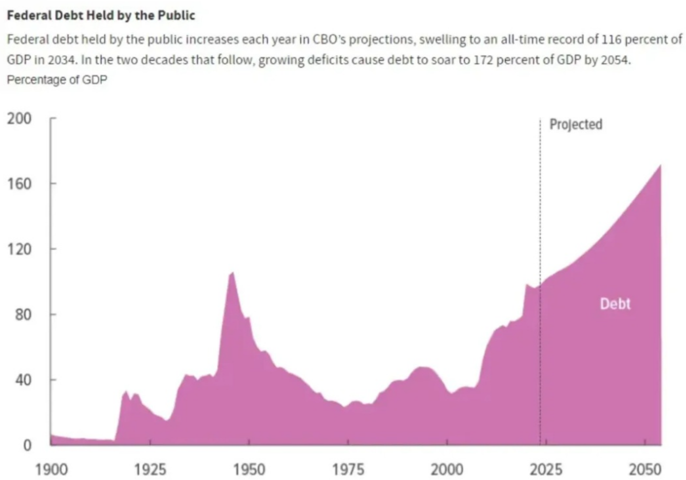


Interest expense is showing first signs of going parabolic. It already exceeds defense spending. This, of course, is why Treasury Secretary Bessent is desperate to lower long-term interest rates. Though the first attempt ended with rates doing the exact opposite as they rose. (More recently, rates do seem to be settling down, at least for now.) If Bessent and team can really *dramatically* lower rates *and* keep them there, then U.S. would be able to bend the curve downward in interest as a $ of all spending. Though even that will be offset by a continually growing pile of debt.

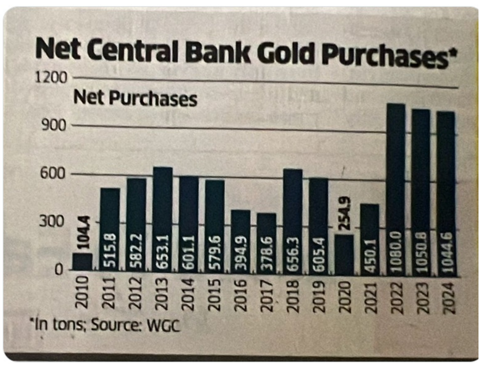


Debt is beginning to spiral (this is from middle of last year; a current chart would be worse)

This chart from the Congressional Budget Office says it all:



So what does this have to do with gold? Gold is the only true money. It has no counterparty risk. No central banker gets fired for adding to their gold reserves. In fact, central banks are accelerating their purchases. They are not stupid. I apologize for this crappy quality chart.



Outside of excessive gov't spending: The Ukraine war started and we confiscated Russia's U.S. dollar reserves. Why would any enemy, much less our "allies" who, by the way, all we do is insult, want to hold our assets if they don't have to. Of course, they cannot outright abandon our assets or the dollar, not even close, but the incremental change will be away from the dollar and our debt whenever they can. Gold brings safety.

Trump, whose objective with trade and a number of other issues I support, is approaching both enemy and ally alike as if they are all enemies. Some of the in-their-face makes sense. I get it. Our counterparties need to be shocked to get the message that things are changing. But does everything have to come with a fusillade of insults? Also, I'm not sure all the changes will play out as we hope. If we had a fortress balance sheet instead of a runaway debt pile, this approach might be fine. But we don't. We may actually need friends.

Once the insults subside and the tariff deals are done, there will be some benefit for the U.S., or at least let's assume. But in truth, these deals have no true value as no treaty paper we sign can now be trusted. On some level these deals will mean absolutely nothing in the end if either party decides they don't. And there will be cheating. Also, what happens if the Democrats win the next election? Do they keep *all* these tariffs? Maybe not if they are unpopular. But business still can't plan around that.

As for any "Mar-a-Lago Accord" should there be one, the half life of it will perhaps not be miniscule, but it will be surprisingly brief. Fingers will be crossed behind the back at signing by most parties. Except for Milieu, he will mean it. But cheating will ensue. The world knows they need to figure out their own path. The same leaders who know they *can't* be fired for buying too much gold, know they *can* be fired for failing to diversify their country away from the United States in any ways they can, big or even just small. It will even be humiliating to have to sign an agreement with the U.S. at Mar-a-Lago. We put a target on our back.

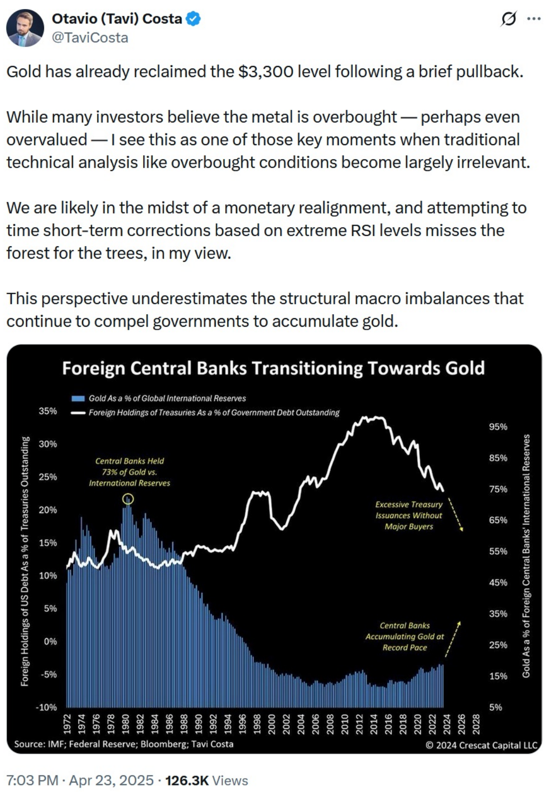
Gold had already been rising. Then a couple weeks ago it exploded higher still:

- DOGE announced it was saving a tiny $150 billion. What!? (I suspect it will be more in the end, but nothing like what was billed.)
- Hegseth announced that instead of his initial plan to cut defense spending, he was going to increase it substantially.
- The House and Senate made further steps toward an out-of-control, high spend budget, just like always. Just. Like. Always. UniParty.
- Then congress moved closer on passing tax cuts (continuing the original Trump cuts). I love tax cuts. I want more tax cuts. Flat tax, please! But unfortunately, this is suddenly a problem because the USA is finally and really out of money. I'm not sure they continue the Trump tax cuts at all without the bond market reacting eventually. It's a risk.
- Overlayed on top of this was the most unplanned and unpredictable tariff program that changed by the day. It still is, though largely with Trump waving a white flag. No matter, this is actually a bit of a sideshow to our budget woes.
- Then the 10 yr bond yield reversed from going downward to surging. Though under control now, I cannot understand why anyone would give this

government money in return for 10 yr and even 30 yr paper with a sub 5% yield? As debt and interest escalate 5% represents the Maginot Line of Interest Rates.

- Simultaneously, gold, after having steadily risen over the past year and year-to-date, literally exploded, I mean truly exploded, to the upside for multiple consecutive sessions. Multiple $100 up days. Investors en masse realized they need gold. Central banks are largely price insensitive and want more of it.
- The out-of-control US gov't spending *will not stop*. The mountain of debt will continue to grow. The currency will need to be debased. It has to be debased. Gold knows this.
- Whoever is appointed to replace Powell may be a self-proclaimed money printer and a potentially a true Trump flunky. Perhaps that person will try to establish some independence and surprise us. This is a known unknown. But *anything* could happen now at the Fed including open dissention and outright fighting. There could be split votes, dot plots that look like a Jackson Pollack painting, media smackdowns with fed heads out contradicting each other. Reports of heated arguments. How about a central banker fist fight!. Ok, probably won't happen, but if it's all going to hell in a handbasket it'd be even better with a rumble. (Admit it, now that I planted the idea of a Fed banker fist fight, you are intrigued.)
- Exactly what will happen is unclear. I'm am outlining the upside. However, the spending is not going to stop. It is unlikely the money printing will stop. That's good for gold. Then there is the potential for dislocations. Gold is likely to only benefit more.
- For the record, I am no gold bug. This is the first time in three decades of investing that I have embraced gold. I like it because I think its time has come again.
- Disclaimer: in past recessions gold has declined for about halfway through the bear market before beginning to rise even as the market fell. Thus, it is not one way up. That's not what I am saying.

Finally, Tavi Costa is a great follow on X-twitter on gold. Here is a recent tweet of his that shows just how much room there is for central banks to load up on gold based on the past.



Also please see wfc's well-done December, 2023 TFPM writeup on VIC.

RISKS

Gold flips from what appears to be a secular advance into a secular decline. However, there could also be a cyclical bear within a secular advance. In past recessions gold has declined during the recession (though has found its footing halfway through bear markets). The Fed goes on a rate hike cycle. Typically bad for gold (but that was not the case in the 1970's early 1980's.) TFPM experiences disruptions at its larger contributing mines, two of which currently represent ~50 of revenue. Disruptions could come either in terms of production or political interventions. Or, perhaps TFPM, is unable to reach its long-term guidance which is dependent on expansion of existing mines and buildout of new mines. Often start dates for expansions and new mines get pushed out well beyond the initial projections. Gold has had a big run. Even if it resumes its advance it only happens after a material correction and consolidation.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

A rising price of gold along with increasing gold equivalent ounces attributed to Triple Flag. Together the two events will drive an increase in earnings and cash flow.

Messages

Subject "Much more risk" names
Entry 04/30/2025 01:46 AM
Member yellow

Thanks for the writeup beep. Very interesting. Agree we're probably close to a wash out and also agree on the long term trend. Perhaps to add up, the physical supply situation continues to deteriorate in spite of rising exploration budgets (stats easily available at the WGC or S&P reports, last time I properly updated these figures in 2020 - see my Torex writeup appendix in case of interest, picture hasn't changed vs then).

Recent rebranding of Barrick Gold as Barrick Mining is remindful of the Gordon Brown bottom.

Don't want to hijack the thread by diverting the attention from TFPM, but given your >20y of experience at the site I'd love to know what's in your *"I then augment those with individual miners that I believe have upside catalysts beyond the gold price, though with much more risk."* basket right now.

Like you, I also own PHYS for the vast majority of my gold allocation. Also have partial ownership of a couple of individual miners (one of which is written up here, can share the other if of interest but wouldn't want to hijack this more than I'm currently doing). Unfortunately missed ORLA as very stupidly thought the multiple was high for my taste 1y ago. I'm always interested in these. The naive optimism that management teams at these smaller miners typically have brings me a lot of joy (and sometimes financial reward).

Appreciate that more often than not these companies don't qualify for a full VIC writeup (as you very well described they carry "much more risk"), hence why me asking directly.

cheers